

Yangen Li

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Updated: August 2026

Education

Ph.D. in Finance, University of Iowa	2021–2027 (Expected)
M.Sc. in Quantitative Financial Economics, Oklahoma State University	2019–2021
M.Sc. in Chemical Engineering, China University of Petroleum	2016–2019
B.A. in Chemical Engineering, Beijing University of Chemical Technology	2012–2016

Research Interests

Financial misconduct and disclosure; executive contracting; machine-learning and LLM-based measurement; empirical asset pricing

Job Market Paper

Future Proves Past: Detecting Hidden Fraud under Imperfect Enforcement Labels, with C. Wei Li, Yuxuan Li, and Anand M. Vijh.

- *Detects hidden fraud that SEC enforcement never surfaces, validated entirely outside the enforcement label*
- *Custom residual CNN on multi-year accounting panels with a certainty-weighted focal loss over soft supervisory labels*
- 2026 University of Iowa Finance Brown Bag Seminar

Working Papers

Listening to History Rhymes: Pattern Recurrence and Return Predictability in Stock Markets, with C. Wei Li.

- *Pattern recurrence in return trajectories is persistent, predicts returns, and survives transplanting to twelve international markets*
- *Hundreds of billions of pairwise trajectory distances computed on GPU to map the full cross-section*
- 2026 Financial Management Association (FMA) Annual Meeting (scheduled); 2026 Silicon Prairie Finance Conference; 2024 University of Iowa Finance Brown Bag Seminar

CEO Individualism and the Distribution of Performance Risk, solo-authored.

- *Individualistic CEOs pass performance shocks through to employment at twice the median rate—only in downturns*
- *An open-weight LLM distilled from frontier-model judgments via QLoRA fine-tuning, trained and served fully self-hosted*

Work in Progress

The Protestant Ethic and the Principal-Agent Relation: Evidence from CEO Employment Agreements, with C. Wei Li, Yuxuan Li, and Yiming Qian.

- *Firms in more Protestant counties write fewer and thinner CEO contracts; the effect is denominational, not devotional*
- 2025 Eastern Finance Association (EasternFA) Annual Meeting

Teaching Experience

University of Iowa, Tippie College of Business

Stand-alone Instructor

- Introductory Financial Management, Spring 2024
- Investment Management, Summer 2025 & Summer 2026

Teaching Assistant

- Introductory Financial Management (Discussion Session $\times 3$), Spring 2023

Grants & Awards

Graduate College Travel Award, University of Iowa	2024–Present
Ponder Fellowship, University of Iowa	Summer 2025
Graduate College Summer Fellowship (\$5,500), University of Iowa	2024–2025
Graduate College Post-Comprehensive Research Fellowship (\$11,000)	Feb.–June 2025
Spears School of Business Full Graduate Scholarship, Oklahoma State University	2019–2021

Dissertation Committee Members

C. Wei Li (Chair)

Associate Professor of Finance

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Anand M. Vijn

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Additional Information

Computing

- Fine-tune and distill open-weight LLMs (QLoRA) on a self-built three-GPU workstation (88 GB VRAM); all training and inference run locally—used to classify over one million SEC filings and to compute billion-scale trajectory-distance matrices

Programming & Software

- Python, SAS, Stata, R
- CLI coding agents

Languages

- English (fluent); Mandarin (native)

Abstracts

Future Proves Past: Detecting Hidden Fraud under Imperfect Enforcement Labels, with C. Wei Li, Yuxuan Li, and Anand M. Vih.

Abstract: SEC enforcement labels are selective and incomplete proxies for the latent fraud they are meant to measure. This mismatch creates two problems: a model trained on them may learn the enforcement process rather than the fraud process, and accuracy measured against them cannot reveal whether a model detects the fraud enforcement misses. We address both with a *future-proves-past* design. Because accounting distortions eventually reverse, future accounting outcomes modestly refine the training signal into soft labels; we train a convolutional neural network on multi-year accounting panels with these labels and validate it entirely outside the enforcement set. The model preserves SEC-labeled detection performance. Out of sample over 2000–2019, flagged firms complete seasoned equity offerings at nearly three times the base rate and earn large negative post-issuance abnormal returns, a long-short portfolio earns significant factor-adjusted alpha, and externally screened populations (post-scrutiny Arthur Andersen clients and bank-monitored borrowers) are systematically avoided. An identically specified network trained on the enforcement label, and benchmarks designed to predict it, reproduce none of this profile beyond a size-controlled tilt away from bank borrowers: the training target drives the difference. The results show that selective enforcement data can be repurposed, at modest cost, to reach fraud that enforcement itself never surfaces, and they caution that detection models should be judged by validation outside the very label on which they were trained.

Listening to History Rhymes: Pattern Recurrence and Return Predictability in Stock Markets, with C. Wei Li.

Abstract: We propose a complementary empirical representation of stock returns: rather than treating the firm–date panel as the primitive object of analysis, we embed rolling 60-day daily-return segments of U.S. equities from 1970 to 2025—approximately 1.32 million segments—into a geometric space of standardized trajectories, extending the exhaustive pairwise-comparison principle of the *Matrix Profile* to the full cross-section. Comparing each segment’s nearest neighbors in real data with those in a bootstrap random walk benchmark, we construct the *Pattern Distance Ratio* (PDR), a measure of pattern recurrence. Recurrence is genuine and persistent: the correlation between in-sample and out-of-sample PDR is 0.308 one year apart, decays only to 0.270 three years apart, is positive in every year, and rises to 0.486 as the comparison sample lengthens, while a random walk placebo produces a correlation roughly thirty times smaller. Recurrence also predicts returns: strongly recurring segments carry more reliable predictive signals, and a trajectory-space kernel ridge strategy earns annualized gross long–short alphas of roughly 9% to 15% across standard factor models that remain significant in the most recent subperiods. Charged at stock-level effective spreads, however, the strategy’s gross return tracks the cost of trading it over five decades and the net alpha is indistinguishable from zero: the predictability is genuine but lives inside the no-arbitrage band that transaction costs create. Transplanted with a fully frozen specification to twelve international markets, the raw equal-weighted long–short return is positive in every market and a global country-average portfolio earns a significant alpha.

CEO Individualism and the Distribution of Performance Risk, solo-authored.

Abstract: How do CEOs resolve the tradeoff between shareholder value and employee welfare when adverse performance shocks force an allocation choice? I show that CEO individualism shifts this allocation systematically toward shareholders. I measure individualism from earnings-call speech in two steps: a transformer scores semantic similarity to 180 validated anchor sentences, and a

specialized large language model—distilled from a frontier model’s judgments through QLoRA fine-tuning—isolates the high-exposure exchanges in which CEOs must take a position without preparation, where disposition is behaviorally revealed. Across approximately 376,000 quarterly calls for ExecuComp firms (2008–2024), a one-standard-deviation increase in CEO individualism raises the pass-through of an ROA shock to employment by 6.2 percentage points, roughly twice the median CEO’s response. The effect is concentrated in downturns: individualistic CEOs cut workforces aggressively when performance falls, but hire like collectivist peers in good times. I call this a *scarcity-revealed weighting* channel. A CEO’s objective weighting becomes visible in outcomes only when scarcity forces a binding tradeoff—which is why the effect is asymmetric, a signature that a symmetric efficiency story cannot generate. A parallel result on labor costs confirms the pattern.

When “Milliseconds” Matter: The Real Effects of High-Frequency Trading, with Wesley Deng, Bo Hu, and Amy Kwan.

Abstract: This paper examines how high-frequency trading affects corporate investment and financing. Using a unique Australian setting with broker-level HFT identifiers, we exploit the introduction of ASX-ITCH, a high-speed order-level market data feed that increased the speed of trading information, as plausibly exogenous variation in HFT presence. As HFT activity rises, firms experience a sizable decline in investment and equity issuance. These effects are concentrated among firms that rely more heavily on external equity financing. We find corroborating evidence in the staggered global rollout of exchange co-location services. Overall, the findings show that financial market innovations can alter firms’ financing capacity and investment decisions, providing a channel through which financial market structure may influence aggregate economic growth.

The Protestant Ethic and the Principal-Agent Relation: Evidence from CEO Employment Agreements, with C. Wei Li, Yuxuan Li, and Yiming Qian.

Abstract: We ask whether the religious culture surrounding a firm’s headquarters shapes the most basic formal instrument of the principal–agent relation: the written employment agreement between a firm and its chief executive. Using large language models to read exhibit filings from the SEC’s EDGAR system, we assemble 6,373 explicit CEO employment contracts, of which 4,660 are fixed-term employment agreements (FEAs), covering 3,468 CEOs at 2,068 Execucomp firms between January 2005 and December 2022—to our knowledge the most comprehensive sample of CEO employment contracts assembled to date. Firms headquartered in counties with higher Protestant adherence are markedly less likely to use FEAs, and the coefficient on Protestant adherence is negative and significant at the one percent level in every specification. Two alternative measures of contractual explicitness—an index built from ten key compensation provisions and the log length of the contract text—deliver the same negative relation, so agreements written in more Protestant counties are not merely rarer but thinner. The effect is denominational rather than devotional: total religious adherence carries no explanatory power, whereas Catholic adherence enters positively and significantly, so the two traditions are associated with contractual formality of opposite sign.